

Inflation will remain sticky even if the Strait reopens fully

- **Key changes:** The main change to our global views – prompted by the slightly earlier-than-expected agreement between the US and Iran – lowers the expected path for energy prices and reduces some of the downside risk to Belgian economic activity. We've consequently raised our Q2 GDP growth estimate for Belgium to 0.2% q/q, lifting our full-year forecast by 0.1ppt to 0.7%. We've also lowered our 2026 inflation forecast for 2026 by just 0.1ppt to 3.4% y/y, reflecting that the inflation shock has already broadened, particularly into services, so underlying inflation is likely to remain elevated.
- **Short-term forecast:** The growth upgrade reflects Belgium's stronger starting point after a positive Q1 outturn – we expect services momentum to have carried into Q2, despite weak consumer confidence. We see consumption remaining supportive of growth into Q3, although momentum is likely to soften as the effects of the US-Israel war with Iran begin to show up more clearly in the hard data.
- **What to watch out for:** The key uncertainty is how quickly traffic through the Strait of Hormuz returns to pre-war levels. This will be central to the near-term path for oil and gas prices, and therefore to both inflation and real activity. A slower normalisation would delay the rebound in growth and keep inflation higher for longer. On the fiscal side, the large deficit in 2025, sovereign-rating downgrades, and weak growth outlook reinforce our view that there's limited room either for discretionary support or for aggressive fiscal consolidation.

Table 1: Belgium forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	1.6	1.1	1.0	0.7	0.9	1.9
Private consumption	1.1	2.0	1.7	1.0	1.4	2.4
Industrial production	-6.9	-2.8	-0.5	3.0	1.0	1.2
Employment	0.8	0.3	0.4	0.9	1.7	1.3
Unemployment rate (%)	5.5	5.7	6.2	6.2	5.9	5.6
Government balance (% of GDP)	-4.1	-4.4	-5.2	-4.9	-4.3	-3.6
Gross government debt (% of GDP)	102.5	103.9	107.9	109.7	111.6	111.5
Current a/c balance (% of GDP)	0.2	-0.4	-1.9	-1.3	-2.2	-2.6
Consumer prices	4.0	3.1	2.5	3.4	2.3	1.6
ECB's deposit rate (% EOP)	4.0	3.0	2.0	2.3	2.0	2.0
10yr govt. bond yield (% EOP)	2.7	3.0	3.4	3.5	3.4	3.4
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

Baseline forecast

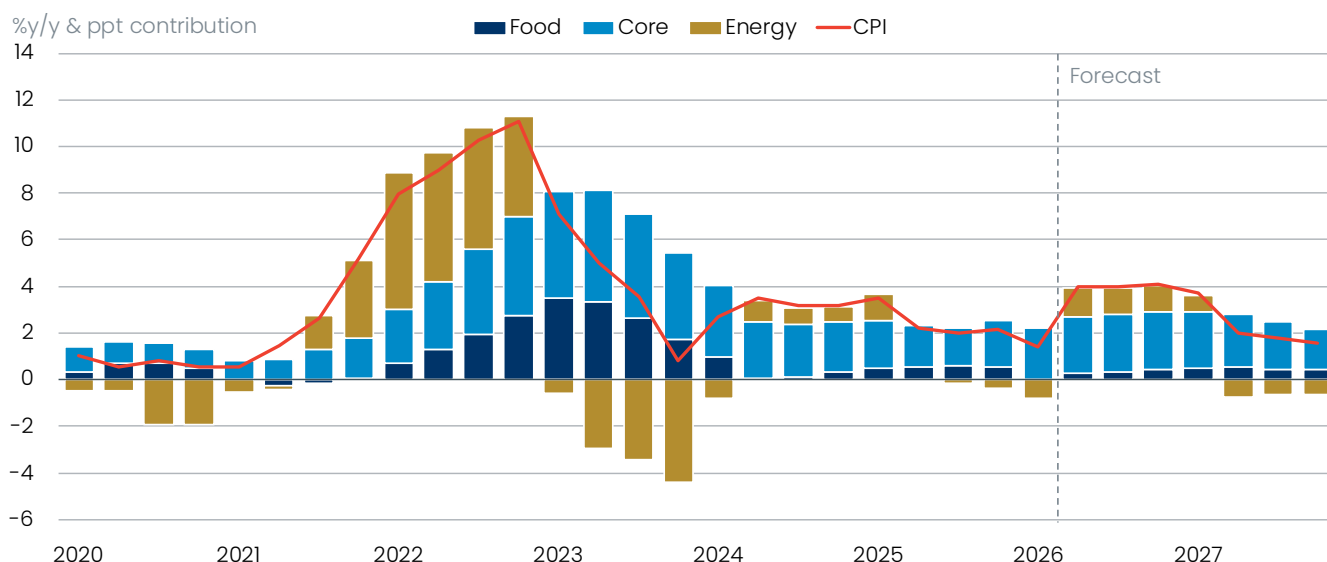
Recent developments

The earlier-than-expected agreement between the US and Iran, which lowers the expected path for energy prices and reduces some downside risk to Belgian activity. However, whereas headline CPI was broadly unchanged in May, services inflation jumped 0.6ppts to 5.9% y/y. This pushed health-index inflation, which is important for wage and social-benefit indexation, higher, raising the risk of a stronger wage catch-up and second-round effects.

Producer-price data also show that firms continue to face significant cost pressures, with April's PPI rising 2.9% m/m and 8.7% y/y, driven by energy costs. Recent Eurozone PMIs suggest firms are passing on cost pressures at the fastest rate in three years. Consequently, we expect underlying inflation to ease only gradually. Indexation will soften the blow to real incomes, but the shock will still weigh on consumption in 2026.

Chart 1: Inflation will ease only gradually

Belgium: Inflation



Sources: Oxford Economics, Haver Analytics

We've raised our 2026 GDP growth forecast for Belgium by 0.1ppt to 0.7%, following an upward revision to our Q2 GDP growth estimate to 0.2% q/q. The upgrade reflects a stronger near-term starting point after the positive Q1 outturn, with services momentum expected to carry over into Q2, despite weak consumer confidence. A relatively resilient services economic sentiment indicator (ESI) also supports our view that domestic demand will continue to expand in the near term, and the earlier-than-anticipated agreement between the US and Iran reduces some of the downside risk from higher energy prices. We expect consumption to remain weak but supportive of growth into Q3, although momentum could soften as the effects of the Middle East conflict feed through to prices, confidence, and hard activity data.

Short-term forecast

The inflation spike will hit real incomes and start to weigh on real consumption growth in Q2 and Q3, which we now forecast at 0.2% q/q and 0.1% q/q, respectively. Core inflation has accelerated, while consumer confidence continued to deteriorate in May. Wage indexation linked to the health index will cushion household incomes, and sentiment should gradually improve following the reopening of the Strait of Hormuz. However, both effects are

likely to come with a lag, especially given the number of times a deal has previously fallen through. Investment remains a partial offset, supported by improved order books, but business confidence remains soft, while PPI and PMI data point to renewed cost pressures, suggesting investment intentions may already have been dented.

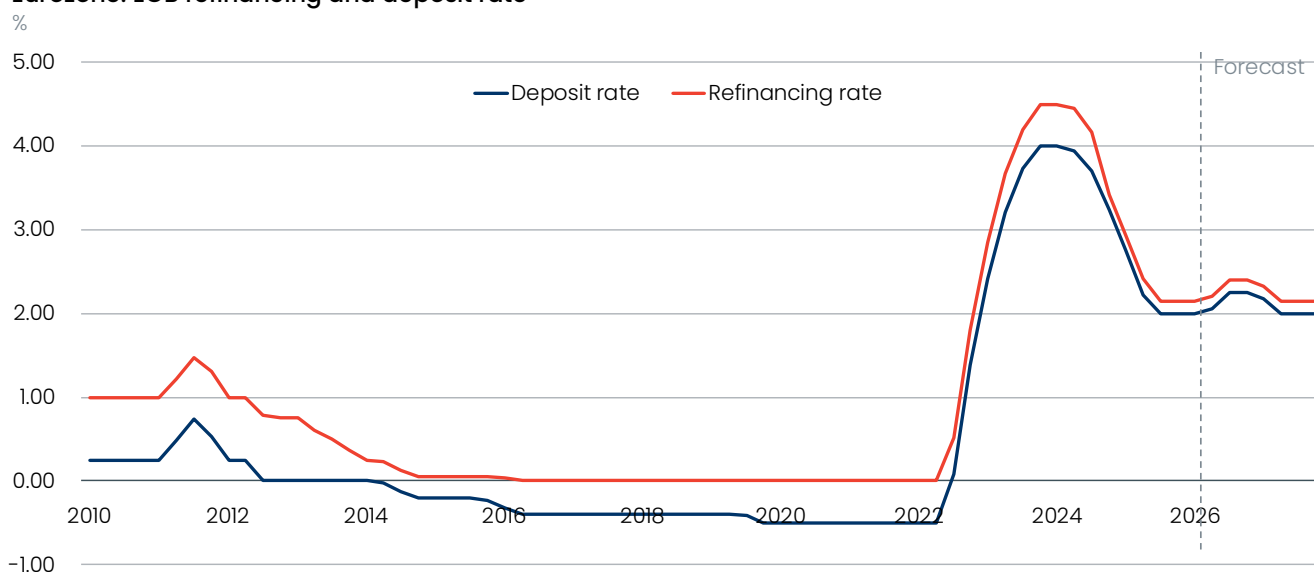
Policy assumptions

Fiscal policy. Coalition disagreements continue to expose the fragility of Belgium's fiscal agenda, although the approval of the programme law suggests the government remains willing to pursue gradual consolidation. The 5.2% of GDP deficit in 2025, recent sovereign-rating downgrades, renewed energy-price pressures, and greater defence commitments all reinforce our view that there's little room for discretionary support. Belgium's latest NATO-related resilience spending largely reflects a reclassification of existing spending rather than a new fiscal impulse. We expect consolidation to proceed gradually, but further measures will likely be needed to stabilise debt over the medium term.

Monetary policy. After the rate hike in June, we now expect the European Central Bank to keep rates on hold this year. The earlier-than-expected agreement between the US and Iran should ease some of the energy-price pressure that had been building, reducing the need for an additional policy response. However, we still expect the ECB to maintain a cautious tone to keep inflation expectations anchored amid the rapid rise in energy prices. We expect the ECB to cut rates again relatively quickly in 2027, bringing the deposit rate back to 2% as energy prices normalise. ([Chart 2](#)).

Chart 2: Our baseline scenario is for the ECB to hold rates for the remainder of the year

Eurozone: ECB refinancing and deposit rate



Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

Inflation will weigh on consumption and growth. The current spike in inflation will hit real incomes and start to weigh on real consumption in Q2, and we expect the impact to linger. Although Belgium's wage-indexation system will partially cushion household incomes, this will happen with a lag. Consumption remains modestly supportive of growth in Q2 and 0.2% q/q, growing 1% in 2026, before accelerating to 1.4% in 2027.

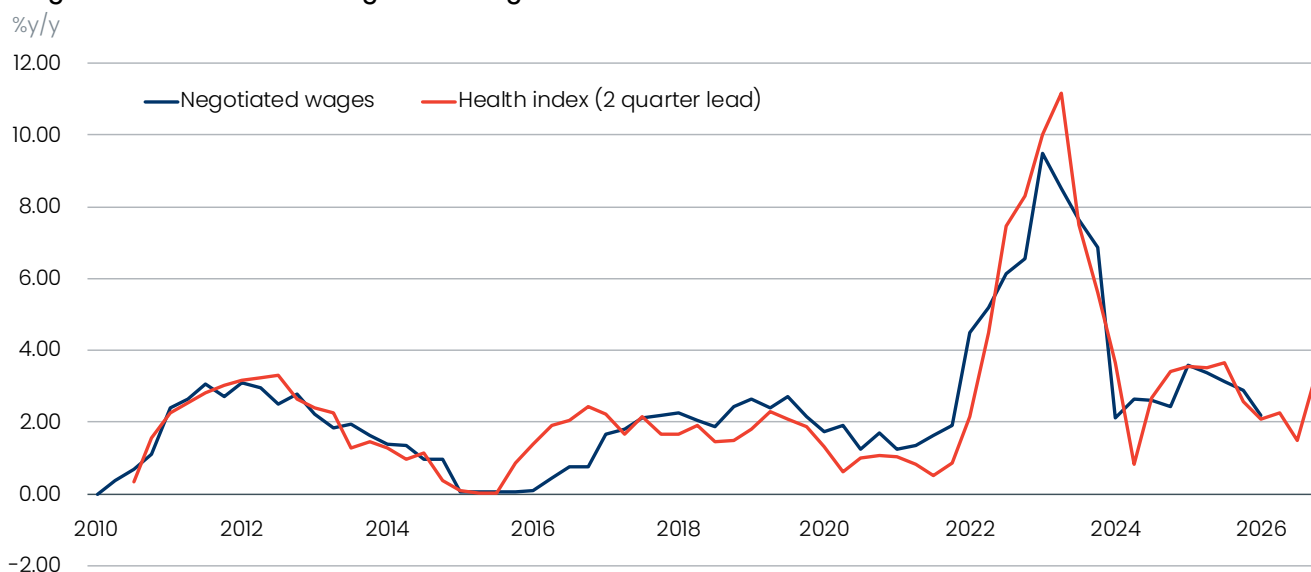
Risks are finely balanced. A slow return to traffic through the Strait of Hormuz would keep oil and gas prices elevated for longer, sustaining pressure on inflation, confidence and consumer spending. But the stronger Q1

consumption outturn, resilient services sector, and wage indexation should cushion household incomes and prevent a sharper slowdown. Overall, we expect consumption to remain supportive in the near term, but for momentum to remain soft as the inflation shock and uncertainty continue to filter through the hard data.

Sticky inflation and second-round effects are becoming harder to avoid. The earlier-than-expected agreement between the US and Iran lowers the expected path for energy prices and reduces some upside risk to headline inflation. But underlying pressures have already broadened. Although headline inflation inched up just 0.1ppt to 4.1% y/y in May, Services inflation jumped 0.6ppts to 5.9% y/y. The health index, which is important for wage and social-benefit indexation, also rose, increasing the risk that higher prices will feed into wages and back into prices.

Chart 3: A rising health index points to wage rises and second-round risks

Belgium: Health index and negotiated wages



Sources: Oxford Economics, Haver Analytics

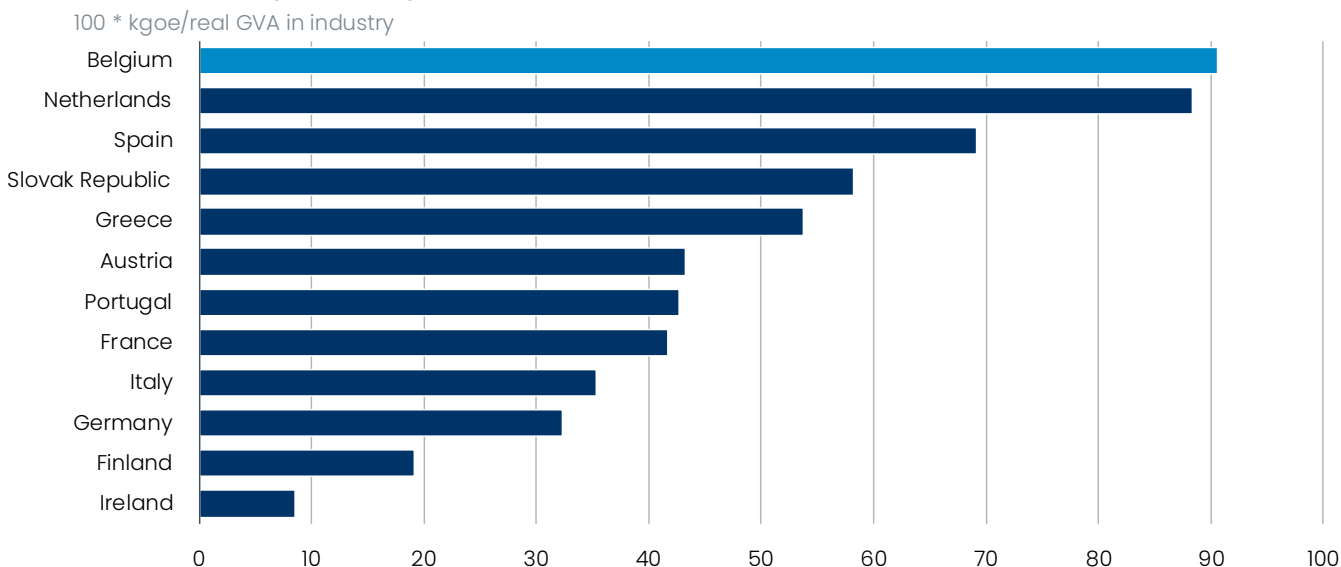
Cost pressures are also visible in business data. April PPI was up 2.9% m/m and 8.7% y/y, driven mainly by energy. Eurozone PMIs suggest firms are passing on higher costs rather than absorbing them fully in margins. We've therefore lowered the headline inflation path just 0.1ppt to 3.4% y/y following the reopening of the Strait, and still expect underlying inflation to ease only gradually and weigh on real consumption and investment through 2026.

Investment support is becoming more fragile. Investment grew 0.3% q/q in Q1 but may not stay supportive for long. Although on an upward trend from its 2024 trough, industrial production momentum has weakened after a 3% m/m fall in March. Most notably, the large uptick in chemicals and pharmaceuticals at the start of the year has reversed, with production in the sector falling 13.7% m/m in March. External demand signals are also less reassuring. Q1 trade data showed chemical exports to the US fell by 46.8% y/y, alongside weaker machinery exports.

Further pressure will be exerted by higher costs and a less supportive investment environment. March PPI rose sharply, driven by a jump in energy prices, which will squeeze margins in Belgium's industrial sector. Belgium has the most gas-intensive industrial base in the Eurozone, leaving it vulnerable to renewed energy shocks ([Chart 4](#)). Investment remains a fragile offset rather than a clear bright spot. Improved order books and the reopening of the Strait of Hormuz reduce some downside risk, but soft business sentiment, restrictive financial conditions, and elevated cost pressures keep the outlook cautious.

Chart 4: Belgium's industrial sector is the most gas-intensive in Europe

Eurozone: Gas intensity in industry, 2019

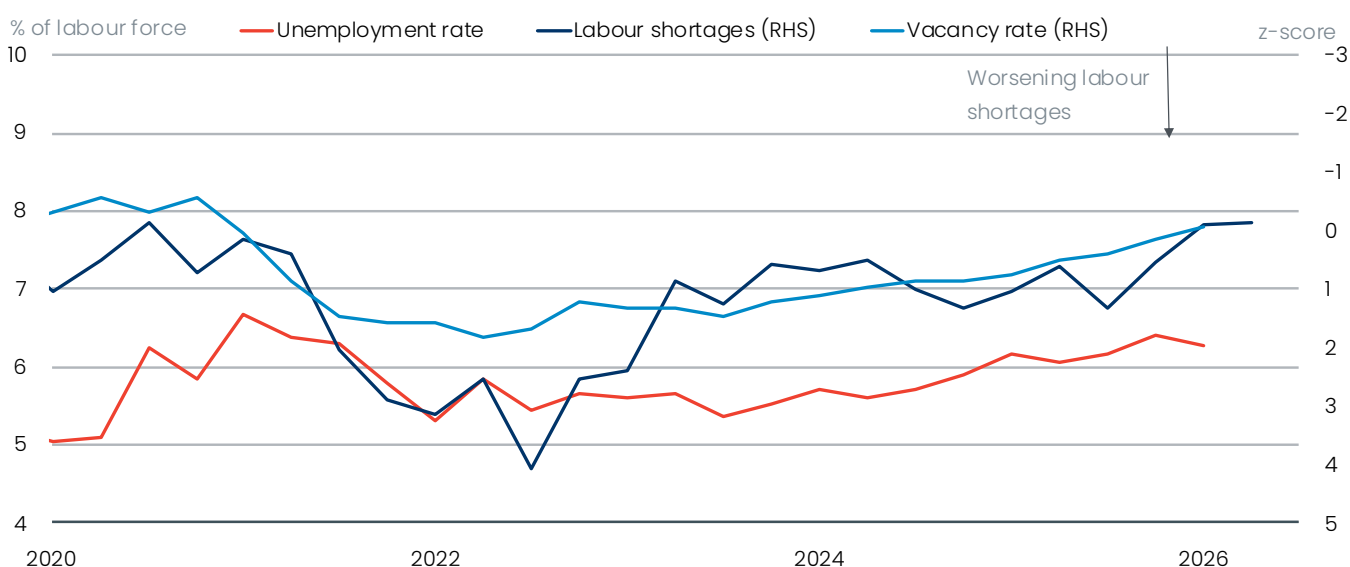


Sources: Oxford Economics, Haver Analytics

The labour market is holding firm. The unemployment rate remained flat at 6.2% in April, following a 0.1ppt downward revision in March ([Chart 5](#)). Employment rose 0.2% q/q in Q1, albeit after Q4 was revised down by 0.1ppt. This should help cushion household incomes and support consumption, although labour demand is likely to soften as signalled by the Eurozone PMIs, as cost pressures feed through. Any further improvement in unemployment is likely to be gradual, but medium-term reforms should help lower the non-accelerating inflation rate of unemployment (NAIRU). With an ageing population and a low fertility rate weighing on labour supply, sustained employment growth will continue to depend on higher participation rates and migration inflows.

Chart 5: Unemployment is low, and the labour market remains healthy

Belgium: Labour shortages



Source: Oxford Economics/Haver Analytics

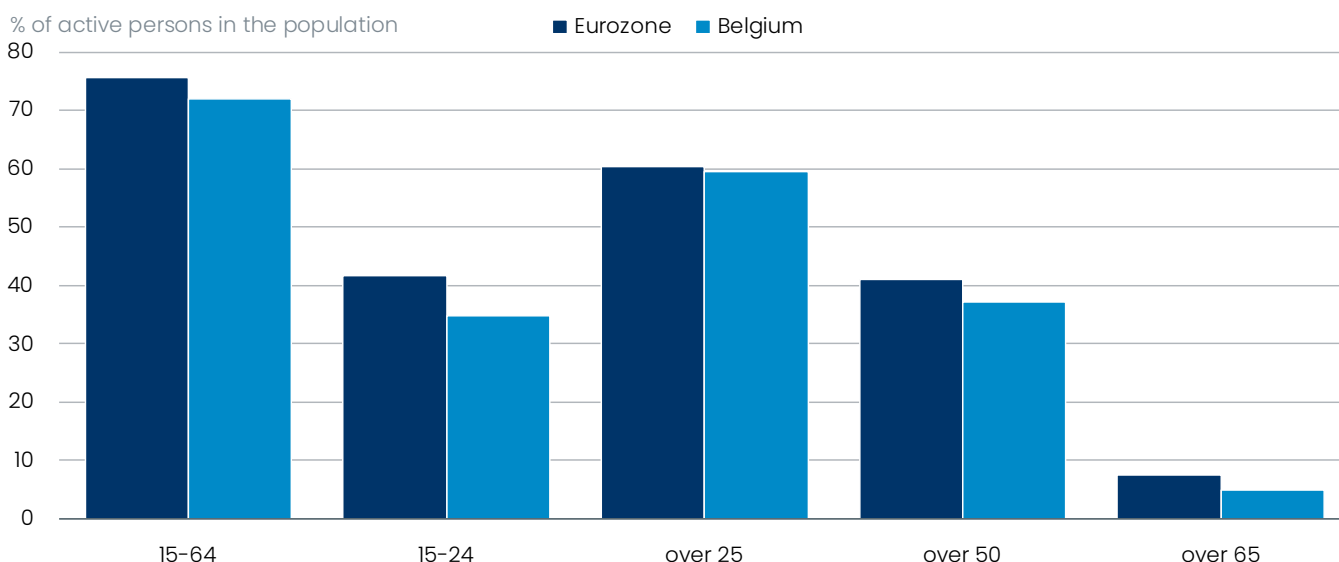
What to watch out for

Political fragmentation. Parliament is highly fragmented and polarised along regional lines. This fragmentation can make constructing a coalition extremely difficult and the opposing interests of the member parties could create hurdles for policymaking. The far-right Flemish-nationalist party Flemish Interest is the second largest behind the more moderately separatist New Flemish Alliance, so the independence of Flanders and decentralisation often inflame the political debate.

Structural reforms. Recent measures to reduce structural rigidities have sought to shift the tax burden away from labour, which has helped reduce the structural unemployment rate. The proposed rationalisation of unemployment benefits and improved support services could help, and the plan to enhance childcare services will encourage female employment. Participation rates have improved but are still below the Eurozone average (Chart 6).

Chart 6: Participation rates are still below the Eurozone average

Belgium: Participation rate



Sources: Oxford Economics, Haver Analytics

High public debt. Belgian public finances are more exposed than those of most EU countries to rising interest rates due to the high level of public debt. Sharp increases in borrowing costs could necessitate politically difficult spending cuts. But the wide spectrum of parties supporting the government responds to different parts of the electorate, meaning it's hard to reach unpopular and divisive decisions. For instance, public expenditure on pensions was equal to 10.9% of GDP in 2022 – around 40% of total social benefits – and has risen more in Belgium than in its peers. This may generate unsustainable debt dynamics. Moreover, poor accountability and the lack of coordination among the federal government levels complicate implementing fiscal reforms. An area of potential improvement is government subsidies, which have significantly risen as a share of GDP and whose economic and social rationale can be obscure.

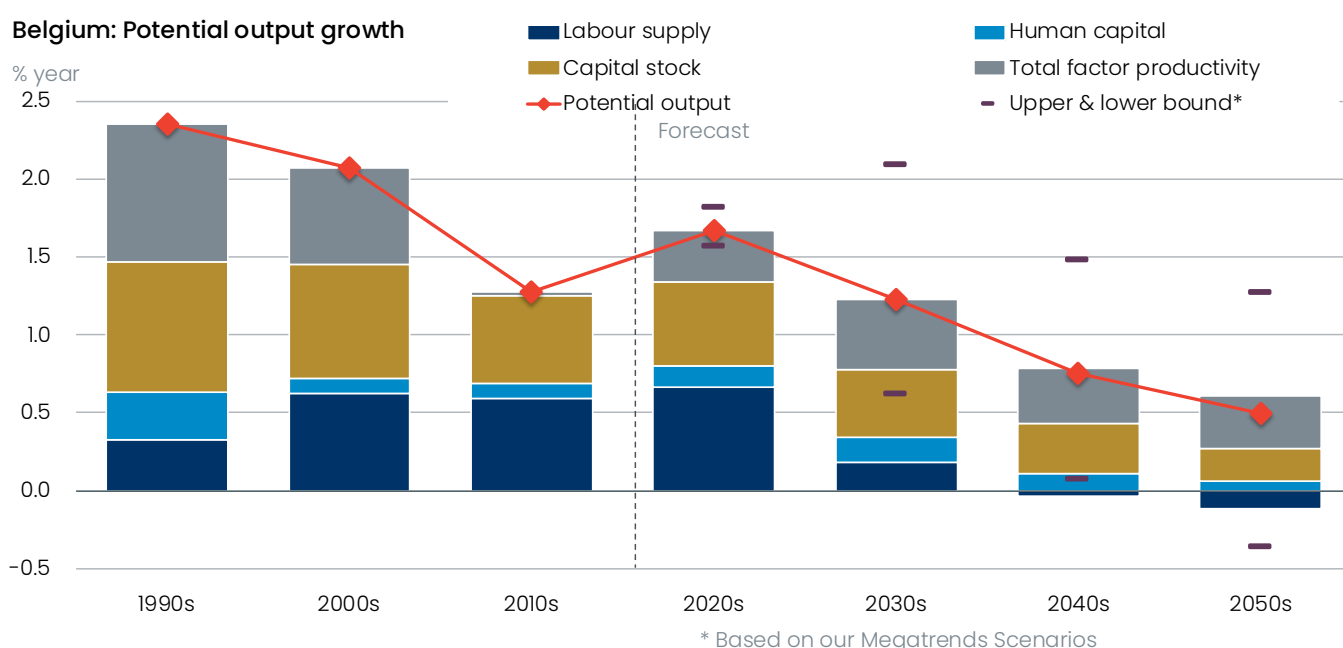
Long-term prospects

We forecast Belgium's potential growth rate will decline significantly over the next few decades. Positive contributions from capital accumulation and improving total factor productivity won't offset the drag from subdued dynamics in the labour supply, and the upside potential from human capital is limited, given Belgium's already highly educated population.

Poor demographics and an ageing population are behind the gloomy outlook for the labour supply. The scheduled increases in the statutory retirement age – 65 until February 2025, 66 until February 2030, and 67 thereafter – and the reduced scope for early retirement schemes will improve the labour market participation of older cohorts. However, more frequent long-term sickness among the elderly will bring down labour force participation. An earlier assessment of the suitability to resume employment, improved public policies accompanying the transition to a new job, and more favourable financial incentives would help the reintegration of the long-term sick into the labour market.

Knowledge-sharing across firms could enhance innovation and competitiveness, given that the contribution from the most advanced companies makes up almost all aggregate productivity growth. Improving low worker mobility and life-long learning would also increase labour productivity. Nascent companies rarely increase in size. Structural reforms addressing these issues would alleviate the drag on long-term potential output (Chart 7).

Chart 7: Support from the labour supply will wane



Sources: Oxford Economics, Haver Analytics

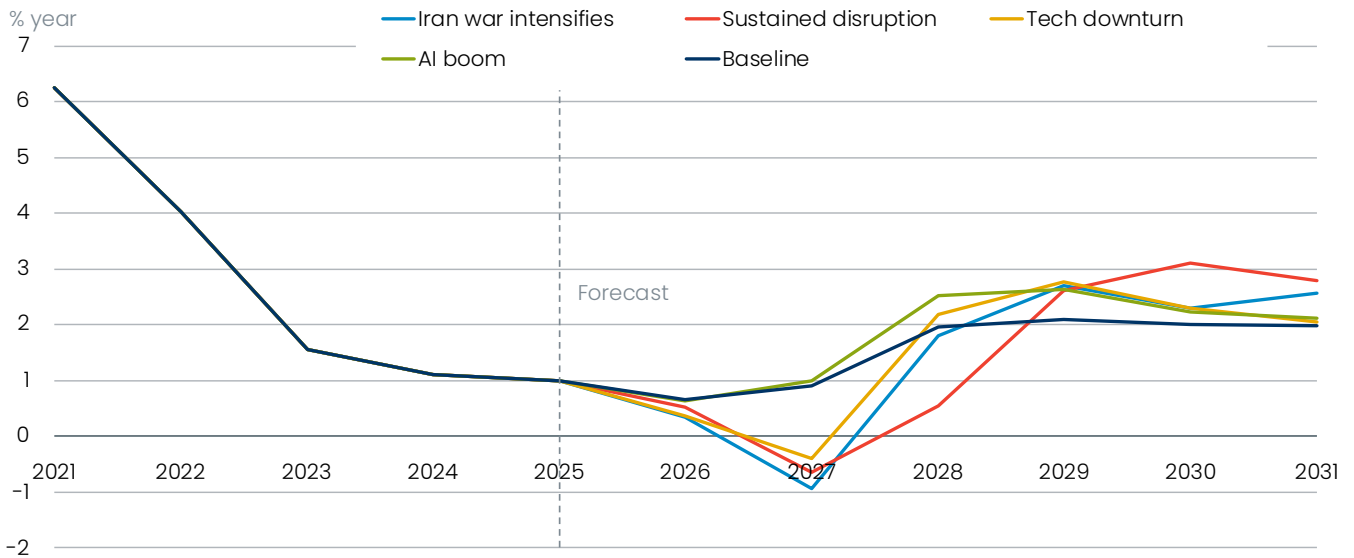
Scenarios

Exposure to key global risks

Sustained disruption. In this scenario, the Strait of Hormuz remains effectively closed until 2028. Energy prices stay high, with oil rising to \$120pb in the near term and to around \$130pb over the course of 2027 as inventories are drawn down. World GDP lies almost 6% below baseline in 2028, with oil production and exports markedly below baseline as the Strait of Hormuz gradually reopens. Belgium falls into recession in this scenario (Chart 8).

Chart 8: Several scenarios would reduce growth in the near term

Impact of scenarios on GDP growth

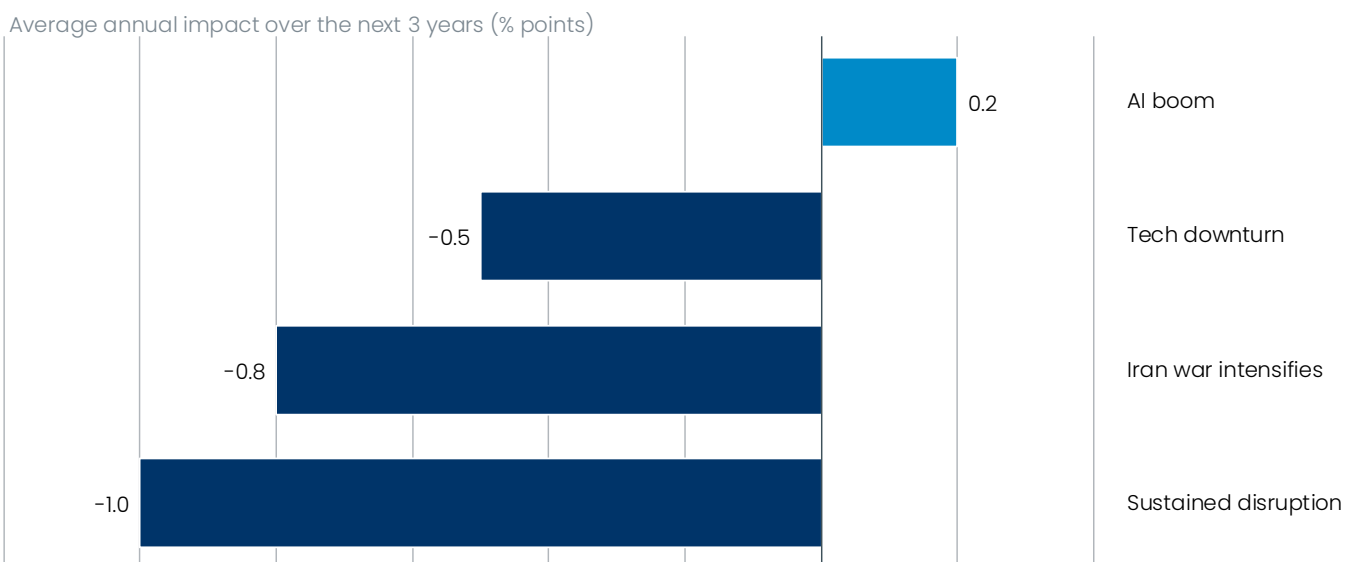


Source: Oxford Economics

AI boom. The global economy is bolstered in this scenario by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. The US economy fares best as it benefits from a further upswing in tech investment, and gains become more dispersed across economies later in the scenario, as tech investment plateaus in the US while faster AI adoption fuels more rapid GDP growth around the world. Belgian GDP moves 0.2ppts above baseline in this scenario (Chart 9).

Chart 9: Risks are skewed to the downside

Impact of scenarios on GDP growth



Source: Oxford Economics

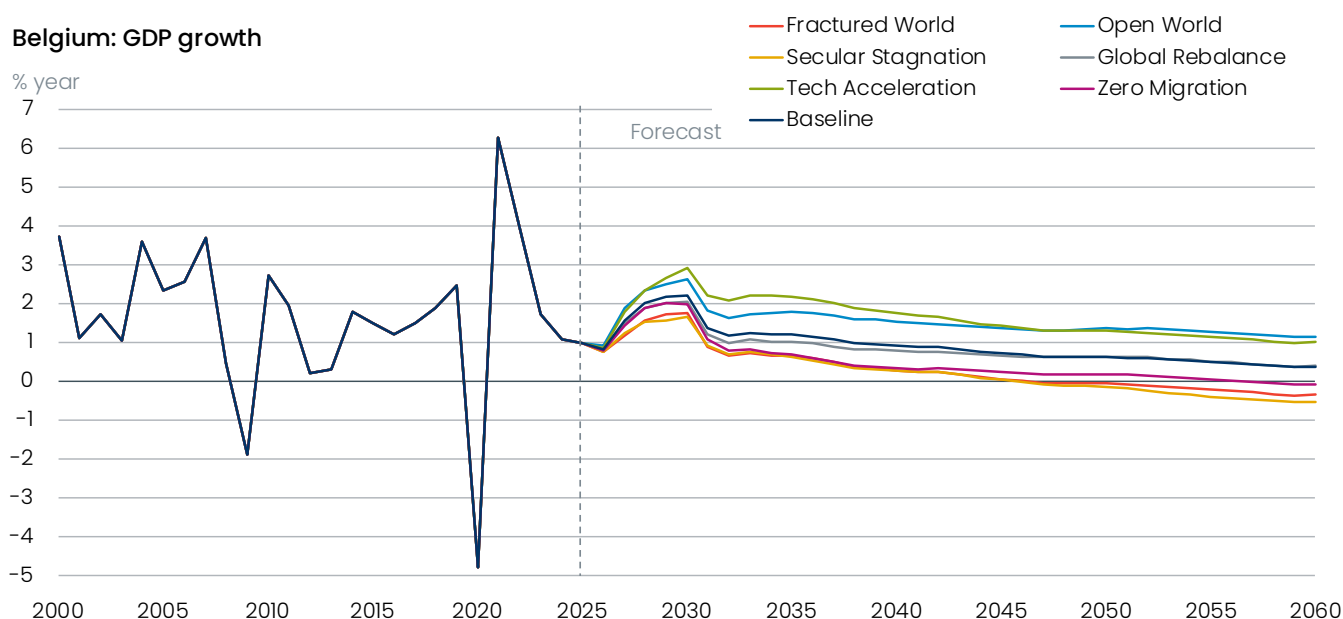
Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Open world. In this scenario, we global reform momentum eases geopolitical tensions and spurs on more trade. Greater openness and stronger institutions amplify cross-border knowledge spillovers, strengthening catch-up growth. Greater openness and international cooperation lower the frequency of negative supply shocks, reducing inflationary pressure in the long run, and stronger economic activity boosts corporate revenue and earnings. The result is that annual Belgian GDP growth would be around 1ppt higher than our baseline forecast. Nominal and real interest rates would also rise.

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Belgium's GDP would contract by 2050 ([Chart 10](#)).

Chart 10: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.3	-0.1	21
Market demand	4.0	0.0	27
Market cost	2.0	0.0	4
Exchange rate	3.3	-0.4	46

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Sovereign credit	4.1	0.0	61
Trade credit	3.0	0.0	5

Source: Oxford Economics

Overall risk for Belgium: 3.3/10*

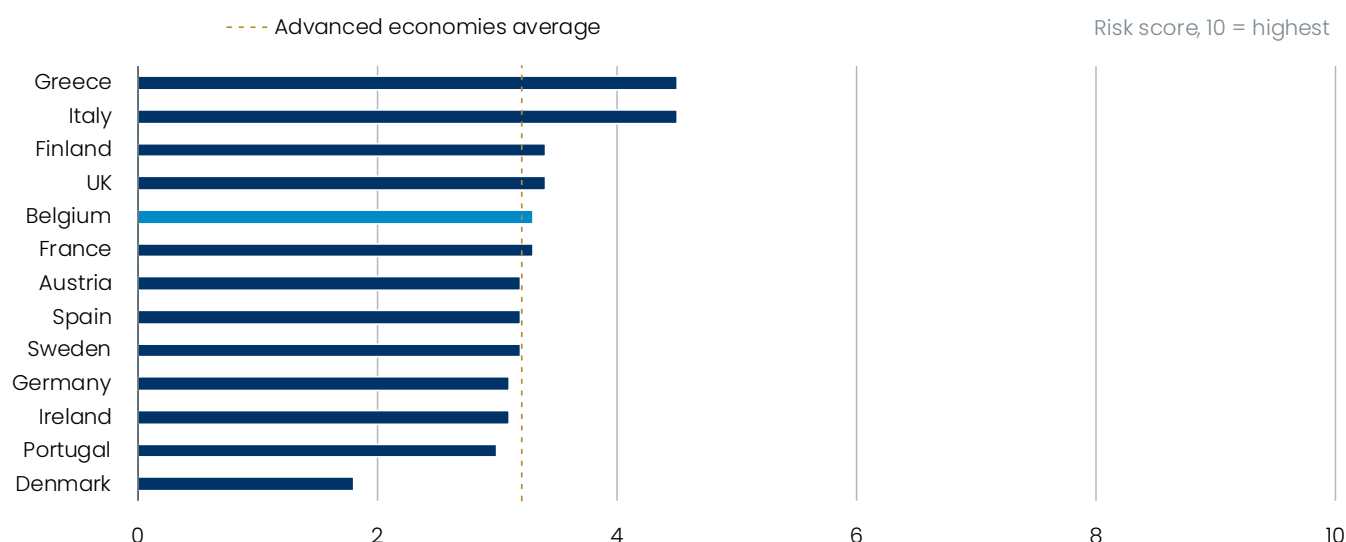
Belgium's overall economic risk score is moderate at 3.3, slightly lower than six months ago. It ranks 21st out of the 164 countries in our evaluation and is slightly above the average score of 3.2 for advanced economies.

Although Belgium was in a vulnerable position after the global financial crisis, expansionary monetary policy and a robust labour market have limited the risks. The financial crisis highlighted the resilience of the country's public and private sectors despite high levels of debt, but the downturn in 2020 due to the pandemic reawakened concerns about indebtedness.

Market demand: 4.0/10

At 4.0, the market demand risk score is above the advanced economies average of 3.4.

The rollout of the recovery plan, partly financed by EU funds, and expanding employment have supported demand. But there's a risk that business capital formation, which was subdued before the pandemic, may disappoint if structural reforms aren't implemented effectively and uncertainty persists. Similarly, tariffs and trade regionalisation pose a risk to external demand and private consumption could remain sluggish if wage growth fails to compensate for inflation. Investment is partially shielded from interest rate rises thanks to the preference of most firms to use available cash and reserves to fund investment rather than borrowing money ([Chart 11](#)).

Chart 11: Belgium's risk score is in line with the advanced economies average**Economic risk: Belgium vs Advanced economies average**

Source: Oxford Economics

Market cost: 2.0/10

At 2.0, the market cost risk score is below the advanced economies average of 2.7.

Before the pandemic, Belgian firms had generally lost their competitiveness, but the temporary freeze on wage indexation and the 'tax shift' policy have made it less expensive to employ lower-skilled workers, putting firms in a stronger position. Although the pandemic reinforced downward pressure on prices and wages, energy-related price pressures have driven up inflation. We also note the risk due to the common indexation of wages.

Exchange rate: 3.3/10

The exchange rate risk is 3.3, in line with that of other Eurozone countries. The low score reflects large current account surpluses, but corporate loans and the banking sector are a modest risk.

The euro bounced strongly in response to US tariffs and policymaking news, reaching as high as \$1.20. The move likely overstates the underlying strength of the euro, partially reflecting safe-haven flows given the near-term uncertainty over the US outlook. The quick bounce of the US dollar after positive tariff news supports this view. Over the longer term, we expect fading structural and cyclical headwinds to support the currency.

Sovereign credit: 4.1/10

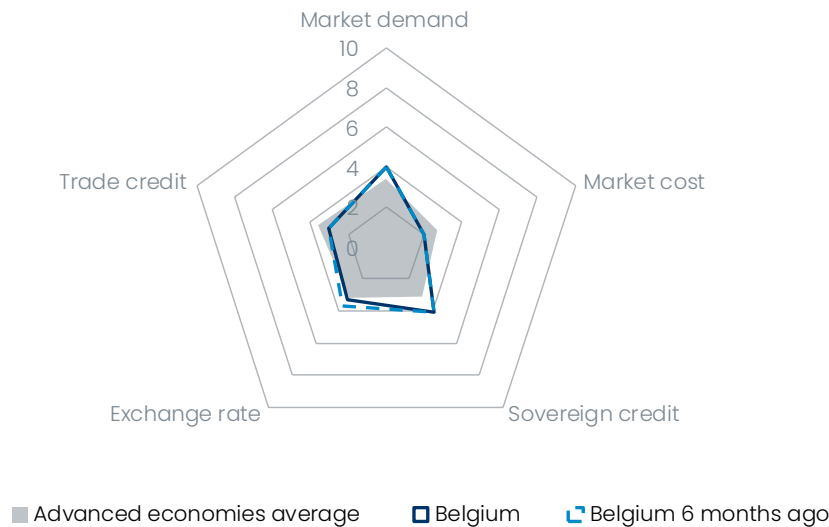
Belgium's sovereign credit risk score is 4.1. The 2020 recession caused fiscal metrics to deteriorate sharply, and governments have cushioned the impact of high inflation. But we forecast public debt to gradually recede, after peaking at 111% of GDP. Debt sustainability isn't in question thanks to the ECB's interventions and Belgium's stable AA credit rating. The share of government debt held by non-residents is relatively high but is mostly held by EU residents and average maturity is long, cushioning the impact of interest rate movements. Still, Belgium has a high level of public debt. Fiscal consolidation will remain at the heart of political debate. Despite the reforms raising the retirement age to 67 in 2030 from 60 in 2012, cutting down high spending on pensions would be politically challenging should expenditure reductions be needed. The 2025 increase in the pension age is estimated to have saved €632mn for the public purse in 2025.

Trade credit: 3.0/10

The trade credit risk score – a measure of private-sector repayment risk – is low at 3.0. Belgian firms are highly indebted relative to those in most other Eurozone economies. But given its Eurozone membership, strong institutions, and the prospect of moderate but steady growth in the years ahead, the trade credit risk score is low. Moreover, Belgian financial institutions are well-capitalised, meaning their lending activity could support liquidity in times of distress and the default rate on credit has remained on a steady downtrend ([Chart 12](#)).

Chart 12: The scores are worse than average for sovereign credit and market demand

Economic risk: Belgium vs Advanced economies average



Source: Oxford Economics

* Risk scores range from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Our sovereign risk tool provides sovereign credit risk, and our FX tool provides foreign exchange risk. [Find out more](#).